

This is a short paper written for a Strategy course taught by former White House Communications Director David Demarest, in which we were asked to research and gather our thoughts on HP's spying scandal back in 2006.

Corporate Espionage Drama: HP's Reckoning with Company Values

In 2006, Hewlett Packard (HP) confronted what would later be dubbed “HP’s spying scandal.” It was born from the third of three internal investigations into a series of leaks from the Board of Directors and was front and center in the news as it touched upon two issues that many Americans hold dear, privacy and journalism, while also being rife with drama. All these issues were highlighted by HP's mammoth status as the 11th largest company in the US Fortune 500 (CNN). Newsweek revealed that HP used illegal and nefarious spying techniques, including pretexting and sending bug-laced emails to its Board members and journalists to uncover who on the Board was leaking information to the press. The story was agonizingly slow to leave the public's mind, as many small events continued to give the story life. This paper will set aside most of the Board’s internal maneuverings, which partially led to this event, to analyze HP's reaction to the scandal and highlight two key figures. The paper will finish with the core lesson and the true origin of this scandal: lack of adherence to values.



The Media's Narrative

This story's narrative in the news media was a two-tone ringer. First, HP used its immense corporate power to spy on its Board and on journalists, violating their privacy. For a glimpse into the passion the issue elicited, look no further than Representative John D. Dingel's comments, who called the effort "a plumbers' operation that would make Richard Nixon blush were he still alive" (Helft). The reason this issue touched the public so deeply is well put by Texas representative Joe Barton, who said, "If it can happen to [the Board members] ... of a Fortune 500 company... it can happen to any of us [and nobody wants that]" (Schalch). Next, spying on the press set journalists to hungrily pursue any subsequent stories on HP. The NYT took it a step further, breaking tradition and pursuing a legal claim against HP, stating,

"Corporate misconduct aimed at silencing the press is not acceptable and will not be tolerated" (Richtel).

The above factors were easily predictable. Board member Patricia Dunn, who spearheaded the investigation, and Chief Ethics Officer Kevin Hunsaker, who oversaw the day-to-day investigation, should have known that attacking privacy and the press would always play poorly in the public. Furthermore, the two leaders should have been more cautious due to the increased scrutiny of HP as a top Fortune 500 company. Additionally, situational awareness of California's attorney general's (where HP is based) prioritizing individual privacy AND the fact that there had already been several "well-publicized lawsuits against data brokers for pretexting" should have immediately raised red flags (CNET, Baer).

Patricia Dunn

Dunn's actions in the scandal deserve individual scrutiny since she was constantly adding drama to the story. From stepping down as head of the board, then resigning from HP, and hiring the notorious Michael Sitrick to maintain her reputation, which led to a 60-minute interview, she was adding fuel to the flames of the scandal. When testifying before Congress, Dunn was anything but conciliatory. She blamed HP's legal teams for giving her misleading information, said, "I do not accept personal responsibility for what happened," and claimed she did not know gathering private phone records was illegal, which is doubtful, if not willfully ignorant of someone who graduated with a journalism degree from UC Berkeley (Gross, Darlin). Other high-ranking HP officials similarly fueled the fire, such as general counsel Anna Baskins, who stepped down and pleaded the 5th when called to testify before Congress, or Board member Tom Perkins, who resigned in protest of the investigation tactics. However, as the chief Board member who approved the investigation, it was each one of Dunn's actions that echoed through the media (NBC News).

HP's Communications

HP's initial response to the scandal was horrible. In researching HP's response, no press conference or discussion of an official company apology within the first ~20 days of the scandal was found. HP spokespeople expressed grievances over the spying through statements such as, "HP is dismayed that the phone records of journalists were accessed without their knowledge;"

however, comments like that are not an apology or claiming any responsibility (Darlin). This noncommittal approach was likely done in hopes that the attention would fade over time; however, as mentioned above, weekly headlines coupled with the emotional resonance of the issue of privacy caused HP to severely miscalculate the tenure of the scandal and their messaging reflected that.

Then-CEO Mark Hurd's comments illustrate HP's lack of an effective communication strategy throughout the scandal. In a press conference ~20 days after the story broke, Hurd was still issuing weak apologies such as, "...the investigation... included certain inappropriate techniques. These went beyond what we understood them to be, and I apologize that they were employed." At the same conference, he gave the impression that HP did not care about the issue, as he "still did not have all the facts" when gathering those that should have been his first priorities (Thibodeau). The horror show continued in Hurd's first extended interview 21 days post-scandal when he;

1. Minimized the issue by saying, "The number of people ...that participated [was] ...incalculably small..."
2. Needlessly brought attention to the report, which had "footnotes strewn...stating that everything was legal,"
3. Tried to have his cake and eat it too by distancing himself from the initial investigation by saying, "I got full control of [the investigation] ... **Now** it's my ball," and trying to be an exemplary leader, stating, "This happened on my watch," and
4. Lied about not knowing about HP sending a tracer email to a reporter, even though the Washington Post had already uncovered he had personally approved the action.

The interview was not a complete failure. Hurd acknowledged that there was a lot of work to be done and emphasized that he would make this an opportunity for growth. Nevertheless, most of Hurd's messaging, which many other HP officials echoed, was remarkably tone-deaf.

At this point, HP was fumbling its recovery from the scandal, and with a congressional hearing fast approaching, they had one last chance to do what they should have from the beginning, prioritized gathering all the facts and then genuinely apologizing for their actions. Furthermore, they needed to share their actions to address and prevent future harm. And that's what Hurd finally did in his testimony: unambiguously apologizing not only to those directly affected but to all stakeholders, the company employees, shareholders, customers, and the public.

He emphasized how he would address the issue in a list punctuated by the repeated powerful use of "I pledge" and shared how they had appointed the respected Bart Schwarz to assess and improve HP's ethical governance structure (Hurd). Hurd's conduct was as close to exemplary as could be hoped, especially when contrasted with Dunn's, and since his testimony essentially marked the end of the scandal, HP's last impression in dealing with it was positive.

Values

We've covered the standard hard points of this case; however, the root cause of the scandal was a lack of adherence to company values, which led to the spying in the first place. In a public letter before the scandal, Hurd wrote, "HP prides itself on conducting business with integrity. This is core to our company values... we expect all HP employees to adhere to them" (HP). A beautiful statement, not based in reality, as we can see that through the same extensive interview mentioned earlier. When asked if he was distracted by the scandal and concerned about the company's performance, he responded, "Let's just say I'm intermittently very focused on the quarter." That was his moment to drive home that HP's values were not disconnected from performance and that, as CEO, he was putting his full attention to fixing the problem. Not doing so showed HP was not a value-lead company, which Hurd openly admitted to in the interview when he said,

"You have to pick [what to focus on when joining a new company] ... Ethics and compliance wasn't the first process I was going to go look at. I was going to go look at processes related to the performance..."

Hurd had undoubtedly got HP into shape through his tenure. However, this divorce of performance from values certainly trickled down from the top of the company, for that was where this scandal was born. The performance of the investigation into who was leaking secrets trumped HP's values of "uncompromising integrity"; everything that happened after that was just the band playing on a sinking ship.

Conclusion

Hewlett Packard's "spying case" is a noteworthy study into company scandals. From a rash miscalculation of public sentiment to a poor initial communications strategy that remarkably turned around when it mattered most. Most notably, we observe the heart of the failure arising from a lack of commitment to a values-based business. The exceptionally small impact this

scandal had on HP's stock may reveal how the case is a relic of a time when ethical standards were less heavily weighted by investors. It is similarly intriguing to wonder if HP would have been allowed to recover from its initial lackluster messaging in today's high-speed, quick-judgment world. Whatever the answer to either question, the importance of a solid adherence to values in business still stands, and if anything, it is more critical.

"Good leaders deliver results. Great leaders develop people. Good leaders have vision. Great leaders have values."

-Adam Grant

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